Notes to the Standalone Financial Statements

(All amounts in Indian Rupees crores, except equity shares and per share data unless otherwise stated)

t. Current and non-current classification

An asset / liability is classified as current if:

(a) The amount is expected to be realized or sold or consumed in the company's normal operating cycle; the liability is expected to be settled in normal operating cycle.

(b) Asset / liability is held primarily for the purpose of trading.

(c) Asset / Liability is expected to be realized/settled within twelve months after the reporting period; or

(d) The asset is cash or a cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

(e) The entity has no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other assets / liabilities are classified as non-current.

The operating cycle is the time between acquisition of assets for processing and their realization in cash and cash equivalents. Based on the nature of products and time between acquisition of assets for processing and their realization in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current/non-current classification of assets and liabilities.

u. Rounding of Amounts:

All amounts disclosed in the financial statements and notes have been rounded off to the nearest crores as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated.

Note 40. Audit Trail implementation

Due to standard functionality of SAP application, audit trail for a specific access in the application and database level of SAP, does not capture 'old value' of changes made for which the Company is working with the vendor for potential resolution. The audit trail feature of the payroll application of the Company was enabled and operated throughout the year.

In terms of our report of even date.

For **Price Waterhouse Chartered Accountants LLP**
Firm registration number: 012754N/N500016

N.K. Varadarajan
Partner
Membership number: 90196

Place: Hyderabad
Date: 23-05-2026

For and on behalf of the Board of Directors of
Divi's Laboratories Limited

Dr. Murali K Divi
Managing Director
DIN: 00005040

N.V. Ramana
Executive Director
DIN: 00005031

Dr. Kiran S Divi
Whole-time Director and
Chief Executive Officer
DIN: 00006503

Nilima Prasad Divi
Whole-time Director
(Commercial)
DIN: 06388001

Venkatesa Perumallu Pasumarthy
Chief Financial Officer

M. Satish Choudhury
Company Secretary
Membership No: F12493

Date: 23-05-2026

Independent Auditor's Report

To the Members of Divi's Laboratories Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Divi's Laboratories Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (Holding Company and its subsidiaries together referred to as "the Group") (refer Note 1 to the consolidated financial statements, which comprise the Consolidated Balance Sheet as at March 31, 2026, the Consolidated Statement of profit and loss (including Other comprehensive income) , the Consolidated statement of changes in equity, the Consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information (hereinafter referred to as "the consolidated financial statements").

2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, as at March 31, 2026, consolidated total comprehensive income (comprising of profit and other comprehensive income), consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's responsibilities for the audit of the consolidated financial statements" section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Act, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

A. Appropriateness of recognition of revenue from sale of products in correct period by the Holding Company

Refer to Note 16 to the consolidated financial statements.

The Holding Company has earned revenue of ₹10,178 crores from sale of products during the year. Revenue is recognised at a point in time or over a period of time based on satisfaction of the performance obligations agreed in the customer contract.

Revenue in respect of sale of products is recognised when customer obtains control of the Holding Company's products which occurs at a point in time. The Holding Company has customers operating in various geographies, and sale contracts with customers are based on various international commercial terms (Incoterms), which determines the timing of recognition of revenue.

Revenue is recognised over time when the Holding Company's performance does not create an asset with alternative use for the Holding Company and Holding Company has an enforceable right to payment for performance completed to date, which is measured based on the progress towards satisfaction of each identified performance obligation set out in the contract with customers.

We considered this to be a key audit matter, as revenue is one of the key performance indicators for the Holding Company and there is a risk of recognition of revenue in an incorrect period given the different contractual terms with the customers.

Our procedures included the following:

- Obtained an understanding of the nature of customer contracts on a sample basis, including key terms and evaluated the reasonableness of management's judgments in selection of accounting policies and assessed whether it is in compliance with applicable accounting standards.

- Performed walkthrough and obtained detailed understanding of Holding Company's revenue recognition process.

- Evaluated the design, implementation and tested the operating effectiveness of controls around recognition of revenue from sale of products.
- Tested, on a sample basis, revenue from sale of products recognised at a point in time, including sales recorded close to the year-end, with underlying supporting documents like customer purchase orders, invoices, shipping documents etc., to evaluate whether revenue has been recognised in the correct accounting period.
- Evaluated the computation of revenue recognised over time by examining supporting documents, including contract-specific physical verification and production progress reports to measure work performed up to the year end in line with performance obligations set out in customer contracts, agreeing the price with reference to the customer contract and verifying the mathematical accuracy.
- Evaluated whether the presentation and disclosures are in accordance with applicable accounting standards and reporting framework.

B. Appropriateness of capitalisation of costs as per Ind AS 16, Property, Plant and Equipment ("Ind AS 16") by the Holding Company

Refer to Note 3 and 4 to the consolidated financial statements.

During the year, the Holding Company incurred capital expenditure of ₹2,635 crores across various locations and capitalised ₹1,540 crores as Property, Plant and Equipment, mainly comprising Plant and Machinery, Roads and Buildings.

This has been determined as a key audit matter due to the risk associated with inappropriate allocation of costs to different items of Property, Plant and Equipment having different useful life, and the risk that the elements of costs that are eligible for capitalisation are not appropriately capitalised or that capitalised costs are not in accordance with the recognition criteria of Ind AS 16.

Our procedures included in the following:

- Understood and evaluated the design and tested the operating effectiveness of key controls relating to capitalisation of appropriate costs and process followed for accumulating costs relating to individual items of Property, Plant and Equipment.
- Tested, on a sample basis, the costs capitalised during the year against underlying supporting documents to ascertain the nature of the costs and whether it is specifically attributable to an item of Property, Plant and Equipment and the basis of allocation of costs, where applicable, and evaluated whether these cost meet the recognition criteria under Ind AS 16.
- In respect of internal costs such as employee benefits expense and other direct costs allocated to items of Property, Plant and Equipment, tested on a sample basis whether the costs are directly attributable to the construction of the project.
- Tested, on a sample basis, other costs debited to the Statement of profit and loss to determine whether they meet the criteria for capitalisation.
- Examined the useful life assigned to each significant part of an item of Property, Plant and Equipment capitalised to determine whether it is consistent with the Holding Company's accounting policy.
- Assessed the adequacy of the related disclosures in the consolidated financial statements.

Other Information

5. The Holding Company's Board of Directors is responsible for the other information. The other information comprises the Management Discussion and Analysis, Board's Report, Business Responsibility and Sustainability Report and Corporate Governance Report (but does not include the consolidated financial statements and our auditor's report thereon), which we obtained prior to the date of this auditor's report, and the additional information excluding those referred earlier that would be included in the annual report which is expected to be made available to us after that date.

   Our opinion on the consolidated financial statements does not cover the other information and will not express any form of assurance conclusion thereon.

   In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

   If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact.

   We have nothing to report in this regard.

   When we read the additional information excluding those referred earlier that would be included in the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate action as applicable under the relevant laws and regulations.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

6. The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows, and changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group, and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Board of Directors of the Holding Company, as aforesaid.

7. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the respective companies to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the respective companies or to cease operations, or has no realistic alternative but to do so.

8. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the respective companies.

Auditor's responsibilities for the audit of the consolidated financial statements

9. Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

    - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
    - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.
    - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
    - Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's